Long / Short Alpha Strategy

Strategy Overview

Investment Objective

The strategy seeks to deliver superior risk-adjusted returns by systematically deploying a multi-factor selection framework combined with tactical position management within a liquid, large-cap US equity universe.

Target Profile:

- Annualized Return: 25-35% net of fees
- Volatility: <8% annualized
- Sharpe Ratio: >2.0 across full market cycles
- Maximum Drawdown: <10% (target: <7%)
- Beta to S&P 500: <0.5
- Return-to-Drawdown Ratio: >4:1

The strategy is designed for institutional investors seeking equity-like returns with substantially reduced drawdown risk. It provides alpha-generating exposure suitable for core allocations and as a complement to traditional long-only mandates.

How the Strategy Works

Universe & Construction

The strategy operates within a liquid large-cap US equity universe, selecting concentrated positions based on a proprietary multi-factor scoring system. Systematic rebalancing captures signal evolution while managing transaction costs through optimised execution.

Portfolio construction employs graduated weighting to balance concentration with diversification, while maintaining exposure to high-conviction opportunities. Position sizes are calibrated to factor strength, creating an asymmetric return profile.

The Multi-Factor Selection Framework

Unlike traditional strategies that employ static factor weights, our approach integrates multiple signal categories that work together to identify high-probability opportunities while controlling downside exposure.

Momentum & Trend Signals
Proprietary momentum indicators identify securities exhibiting persistent price trends with favourable risk characteristics. The system emphasises continuation patterns that have historically predicted future outperformance while filtering for quality.

Fundamental Quality & Valuation
Financial strength and reasonable valuations across multiple metrics form a stable foundation. Quality screens identify companies with strong balance sheets and sustainable competitive positions.

Technical Strength Indicators
Advanced technical analysis identifies optimal entry and exit timing. Trend strength and relative performance metrics ensure positions align with prevailing market dynamics.

Risk Management Architecture

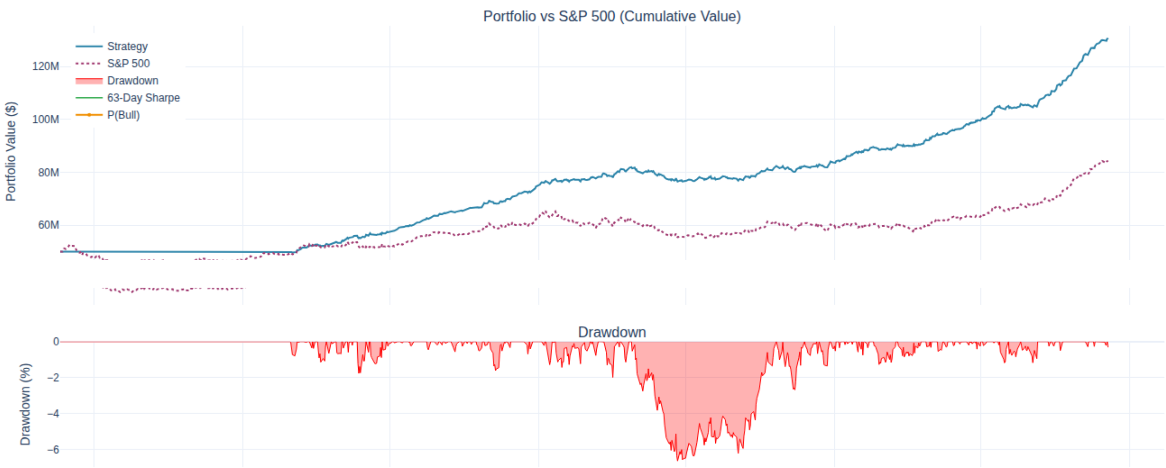
The strategy incorporates multi-layered risk controls that operate independently to protect capital:

- Position-level constraints prevent excessive concentration
- Dynamic exposure management responds to market regime changes

- Systematic rebalancing maintains factor alignment
- Low beta positioning reduces correlation to broad market movements

Performance Factsheet

May 2022 – December 2025 Performance



Strategy Performance Summary

Metric	Value
Starting Capital	**$10,000,000**
Final Portfolio Value	**$26,035,000**
Total Return	**+160.35%**
S&P 500 Return	**+67.40%**
Excess Return	**+14.69%**
Maximum Drawdown	**-6.62%**
Annualized Sharpe Ratio	**4.29**

Return Metrics

Metric	Value
CAGR	**29.74%**
Annualized Alpha	**21.41%**
Information Ratio	**1.84**
Win Rate	**61.76%**
Profit Factor	**2.22**
Calmar Ratio	**4.49**

Risk Metrics

Metric	Value
Annualized Volatility	**6.01%**
Sortino Ratio	**6.93**
Beta to S&P 500	**0.39**
VaR (95%)	**-0.53%**
CVaR (ES)	**-0.69%**
Up Capture Ratio	**52.29%**
Down Capture Ratio	**23.09%**

Market Capture Analysis

The strategy demonstrates a highly favourable asymmetric capture profile: participating in 52.29% of market gains while experiencing only 23.09% of market losses. This 2.3:1 capture ratio creates substantial compounding advantages over full market cycles.

Track Record

Parameter	Value
Backtest Period	**May 2022 – Dec 2025**
Trading Days	**926**
Rebalancing Events	**145**
Benchmark	**S&P 500 Total Return**
Positions	**20 (concentrated)**